importance to Grigg was whether he was consulted on this subject. Grigg even told the Viceroy that he had been kept in the dark about the change which was not true. After a private conversation with Smith, the Viceroy told Grigg that Smith had denied keeping him in the dark and said that he (the Viceroy) had irrefutable evidence to prove that he had informed him. The recently released Taylor Papers seem to corroborate Smith's version.

On November 14, 1935, Grigg wrote to Smith about how he thought that the decision to lower the bank rate was a mistake, and asked Smith to pay him a visit. In the same letter he wrote that apart from the bank rate he wanted to clear the air about Smith's relations with Rangaswami. 'All the time you have been away, that little swine Rangaswami has been attacking Taylor and me putting up prayers for your return so that the bulls could come into their own again… If anything spectacular happens now immediately on your return, it simply means that he has completely succeeded in dividing you and me and in that case I do not see how I can possibly stay out here. It is difficult enough standing up for sanity as it is, but it will be quite impossible if you and I don't keep an absolutely united front not only in fact, about which there is no difficulty, but also in appearance, which is not so easy.'[32]

Smith responded on November 18: 'I am indeed sorry to have the news in your letter and it disturbs me as its tone seems to convey that I am connected in some way with Rangaswami and his writings. Let me assure you I do not want his publicity, further I haven't seen him or opened his paper since I left India. I think everybody who matters both here and in England knows my views in regard to you, and for me to realize that a gutter pressman can make you take such a serious view of his writings as to make you contemplate the action you set out, or estrange us, is beyond me. Nobody takes any notice of Rangaswami, he is discredited everywhere. However, if you want my resignation you can have it, as I am sure yours would be more serious than mine.'[33]

Referring to the reduction in the bank rate, Smith told Grigg that he thought that this would help agriculture. He added: 'The money market is completely out of touch with the Bank Rate. On balance I have sold securities since my return. However, I do not wish to oppose your wishes, still I must stress that as a Central Bank we have a duty to the public. If you could do with 2 ½ per cent at par 7 years money, and reduce your floating